Blue Owl Capital Inc. (NYSE: OWL)

Target Price: $21.81
5-Year IRR: 17.9%

Financial Institutions Group

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November 21st, 2023

Western Investment Club

I.

Business Overview

Business Overview

BLUE OWL

OWL is a leading asset management firm with permanent capital – unshakeable like an owl's stoic gaze

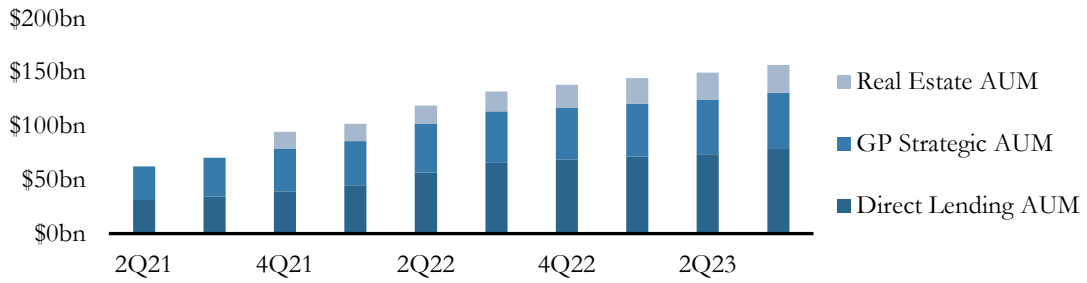
Business Overview

- Blue Owl Capital Inc. (NYSE: OWL) is a global alternative asset manager with $157bn of AUM, specializing in direct lending, private credit, GP strategic capital, and, following its 2021 acquisition of Oak Street Capital for $950mm, real estate
- The firm was formed and went public in May of 2021 following the merger of Owl Rock and Dyal Capital in a $12.2bn deal
- OWL earns revenue solely through management fees on the capital they oversee, without relying on performance-based fees

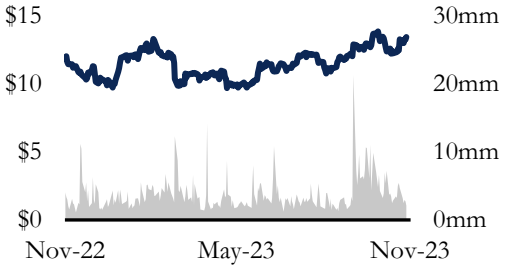
Key Financial Metrics

Ticker	NYSE: OWL
Share Price	$13.43
Enterprise Value	$11.87bn
Market Cap	$18.92bn
EV / EBITDA	14.4x

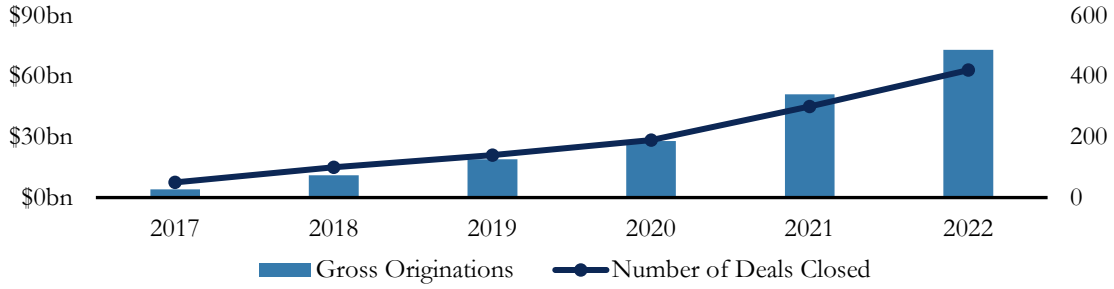
Total AUM - 9.7% Quarterly Growth Rate



52-Week Performance



Cumulative Gross Originations



Source: Capital IQ, Internal Reports, Yahoo Finance

Platforms Overview

BLUE OWL

OWL's three major platforms provide capital solutions for "owl" types of business needs

Platform Offerings

Direct Lending

Lending facilities for middle- and upper-middle-market businesses

- Diversified
- Technology
- Opportunistic
- First-Lien
- CLOs

GP Strategic Capital

Equity and debt financing for large private capital managers

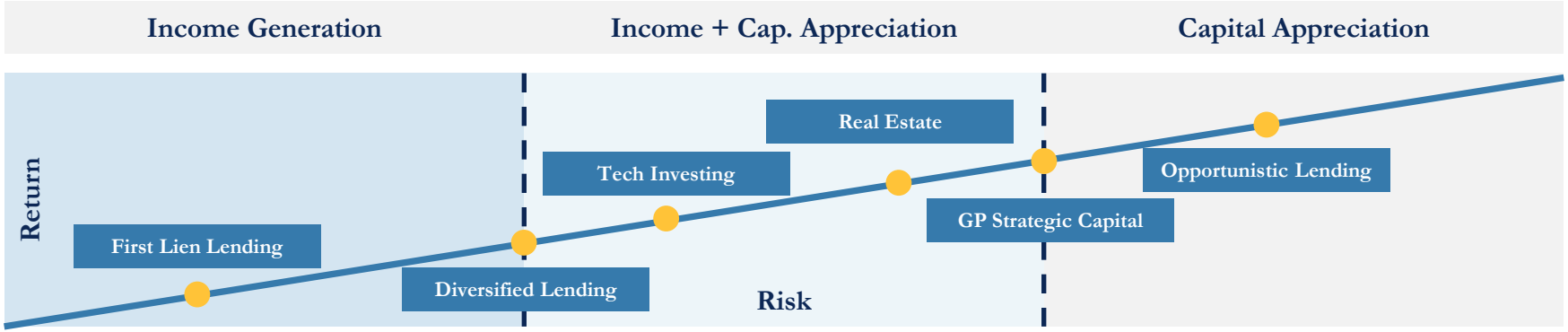
- GP Equity Investments
- GP Debt Financing
- Pro. Sports Equity Investments

Real Estate

Leases to investment grade tenants through REITs or long-dated funds

- Triple Net Leases

Product Risk vs. Return Matrix



Source: Company filings, Investor presentations

Platforms: Direct Lending

BLUE OWL

OWL's direct lending platform offers diverse financing solutions for middle-market businesses to take flight

Provides financing to ***middle-market companies*** through various direct ***debt investments***

$80bn	525+	675+
AUM	deals closed	relationships

Income Generation (81%)

Diversified
Debt investments in US middle-market businesses offered through BDCs.

Technology
Loans to high-growth US technology companies, supplementing equity investments.

Capital Preservation (5%)

First Lien
A first-lien loan is a type of debt that is secured by collateral. In the event of a default, the lienholder is the first to recoup losses until the loan is repaid, protecting their downside risk for managing capital losses.

Opportunistic (14%)

Opportunistic Lending
Loans to high-quality businesses experiencing distress, dislocation, or disruption.

CLOs
Collateralized loan obligations of broadly syndicated leveraged loans.

2016 — Capital Corp.

$2,590	13.2%	1.57x
AUM	IRR	MoIC

2017 — Capital Corp. II

$14,767	NM	NM
AUM	IRR	MoIC

2018 — Technology Finance Corp.

$7,269	12.2%	1.35x
AUM	IRR	MoIC

2018 — First Lien Fund Levered

$2,638	11.3%	1.38x
AUM	IRR	MoIC

2019 — First Lien Fund Unlevered

$550	6.1%	1.20x
AUM	IRR	MoIC

2020 — Capital Corp. III

$4,168	13.1%	NM
AUM	IRR	MoIC

2020 — Credit Income Corp.

$15,410	NM	NM
AUM	AUM	MoIC

2021 — Tech Finance Corp. II

$6,497	NM	NM
AUM	IRR	MoIC

Source: Company filings, Investor presentations

Platforms: GP Strategic Capital

BLUE OWL

OWL's GP Strategic Capital platform provides flexible and wise financing to large private capital managers

Supplies capital to ***large private capital managers*** through both ***equity and debt*** investments

$51bn	10+	60+
AUM	yr. record	partnerships

GP Debt (3%)

Debt and preferred equity investment in private capital managers

Blue Owl

Debt ↓ | ↑ Interest

Asset Managers

Investment Criteria

- AUM of $10bn+
- 10% - 30% GP stake
- $100mm - $1bn size

GP Minority Equity (96%)

Minority equity investment in alternative asset managers

Blue Owl

Minority Equity ↓ | ↑ Distributions

Asset Managers

Sources of Income

- Mgmt. fees
- Carried interest
- Portfolio returns

Pro. Sports Equity (1%)

Minority equity investment in professional sports teams

Blue Owl

Minority Equity ↓ | ↑ Distributions

Pro. Sports Teams

Current Investments

Phoenix Suns | Atlanta Hawks Basketball | Sacramento Kings

Source: Company filings, Investor presentations

Platforms: Real Estate

BLUE OWL

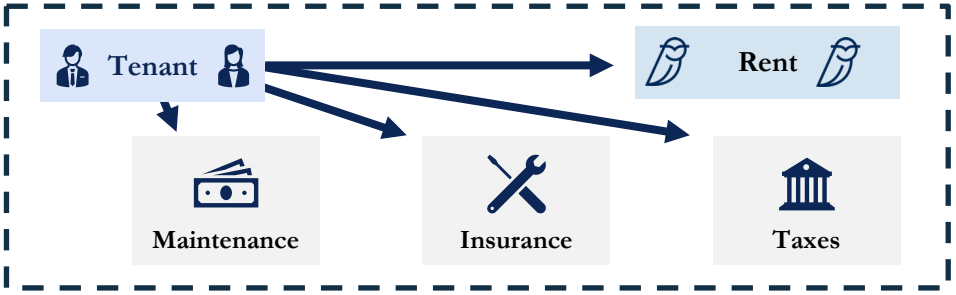
A new platform for strategic investments in an asset class with steady cash flows as reliable as an owl's hoot

Triple net leases to creditworthy tenants, mainly offered through REITs and long-dated funds

$26bn	1,830+	180+
AUM	assets owned	deals closed

Triple Net (NNN) Lease Dynamics

OWL's real estate portfolio is comprised entirely of ***triple net leases*** where ***tenants pay taxes, insurance, and maintenance expenses,*** in addition to regular rent expenses



Investment Process

Origination	Underwriting	Lease Structuring	Approval	Monitoring
Leverage data-analysis to find opportunities	Diligently assess credit strength	Negotiate lease terms to reduce risk	Consider risks of the investment	Monitor tenant credit and lease terms

Source: Company filings, Investor presentations

Talent & Organizational Structure

BLUE OWL

OWL soars high with strong leadership leading the flock and the ability to retain top talent

Michael Rees	Craig W. Packer	Marc Zahr	Marc Lipschultz	Doug Ostrover	Alen Kirshenbaum
Co-President	Co-President	Co-CEO	Co-CEO	Co-CEO	CFO

Credit Division

Bryan Cole	Alexis Maged
CFO	COO
7 years' experience	7 years' experience

Capital Division

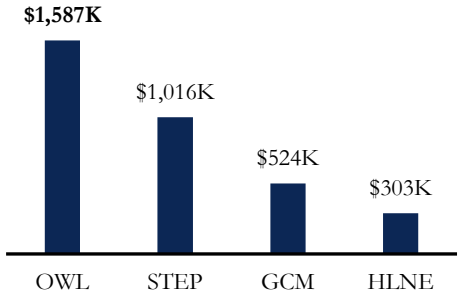
Jenn Brouse	Andrew Polland
CFO	COO
8 years' experience	6 years' experience

Real Estate

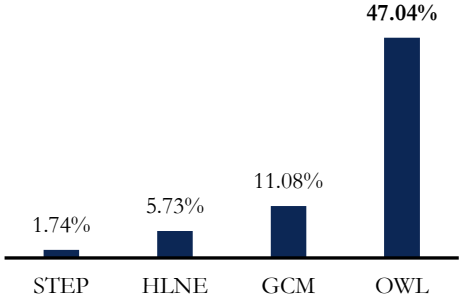
Michael Reiter	Larissa Herczeg
COO	Head of Seeding
6 years' experience	11 years' experience

Talent Attraction and Retention

2022 Comp. per Head



% of Comp. that is Equity-Based



OWL's superior compensation per head and significant proportion of equity-based compensation beats all other FRE focused AM's and has allowed for numerous lateral hires from top firms such as BX, Carlyle, Oaktree, CPP and GS

Source: Company filings, Investor presentations, LinkedIn

Fund Investors

BLUE OWL

OWL's feathers in the cap are the benefits from a diverse LP base with the confidence to re-invest in OWL

LP Client Mix

Pensions
Public and corporate funds that invest to provide retirement income for employees

Private Investor
Typically high net worth individuals, wealth management firms, and large family offices

Insurance
Insurance companies invest the premiums they collect from customers

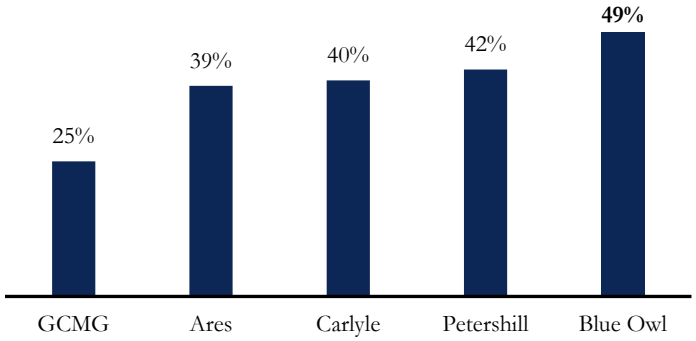
Sovereign Wealth
State-owned investment funds invest to benefit their national economy

Endowments
Donations to non-profit organizations used to generate income for the institution

CALSTRS | C.W.OBEL EJENDOMME | Nationwide | MUBADALA CAPITAL | UNIVERSITY OF MICHIGAN

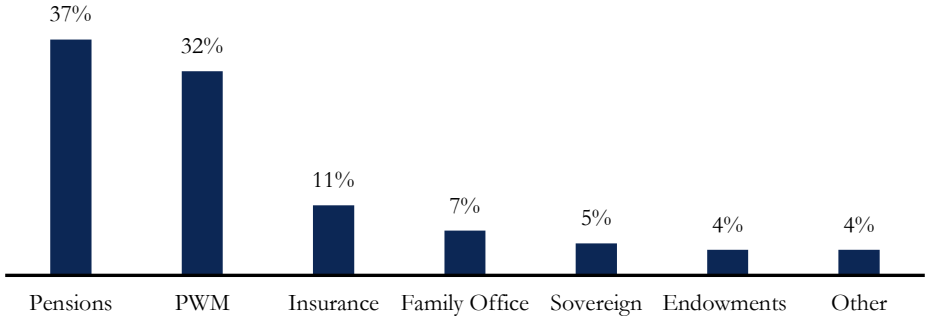
LP Re-Investment Across Funds

Despite being younger than competitors, OWL has a higher rate of LP re-investment across multiple fund



LP AUM Contribution

Despite making up 39% of OWL's current AUM, Private Wealth has comprised 50%+ of new capital raised in 2023



Source: Investor Presentations, Pitchbook

II.

Internal & External Analysis

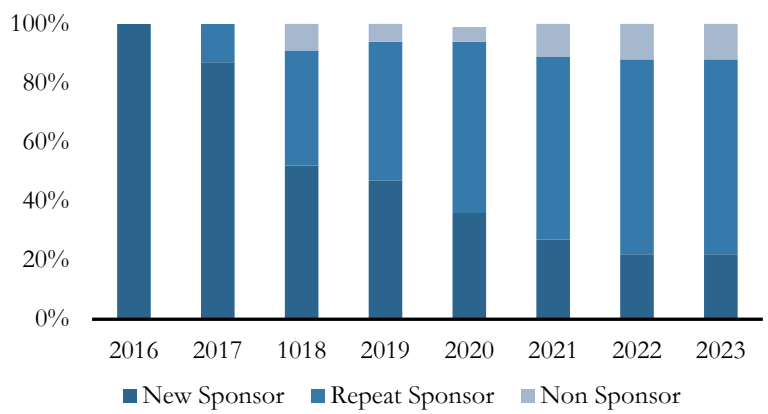
Internal Analysis: Sponsor Deal Pipeline

BLUE OWL

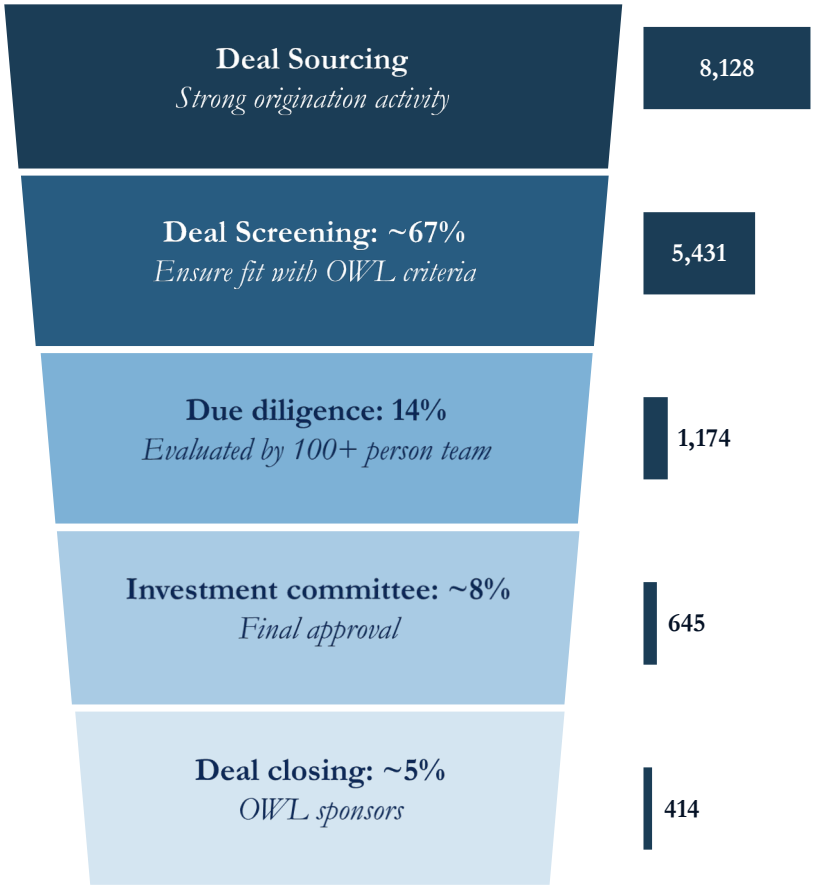
OWL has a robust deal pipeline and meticulous screening process where a feather wouldn't slip through

Sponsor Relationships Drive Deal Flow

Sponsor Relationships Over Time



Deal Funnel



Source: Company Filings, Earnings Calls

Internal Analysis: Recent Approach to Deals

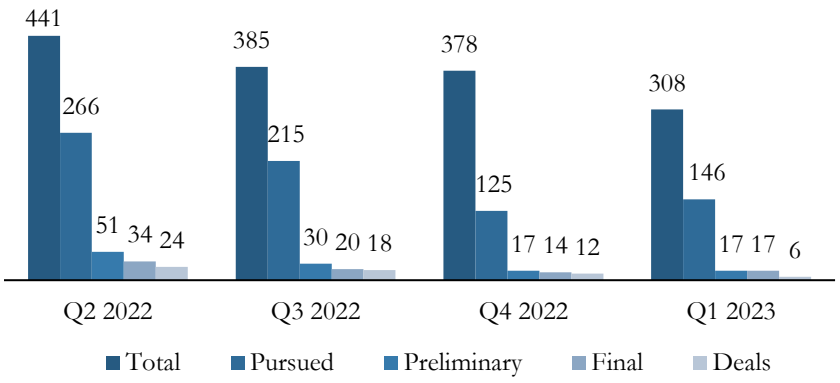
BLUE OWL

Blue Owl's rigorous screening process leads to net loss ratios as rare as an owl sighting in the daytime

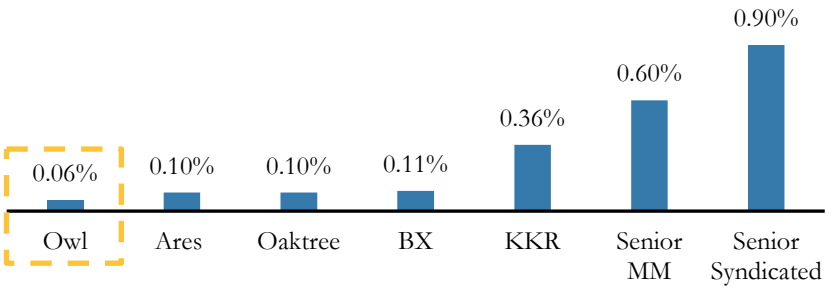
Investment Criteria

- **$20mm–$250mm cheque size**
- **Avoid cyclicality and customer concentration**
- **$10mm–$250mm EBITDA; $50mm–$2.5bn revenue**
- **Focus on long-term contracts and recurring revenue**

Recent Deal Pipeline



Superior Annual Net Loss Ratio



Strict investment criteria has made OWL a superior allocator even compared to the best credit funds across the street

Slowed Deal Flow and Investment Quality

- Management cites an unwillingness to compromise on quality as reason for lower closed deals in recent quarters
- In late 2021 and early 2022, deal flow and originations began to slow following a cooling M&A market; OWL's originations decreased 7% YoY while the industry's decreased 20% and M&A volume shrunk 40%
- Despite slow originations, the number of $1bn+ deals OWL evaluated grew from 40 to 70 from 2021 to 2022, these deals had a closing rate of 30%

Source: Company Filings, Earnings Calls

Internal Analysis: AUM vs. FPAUM

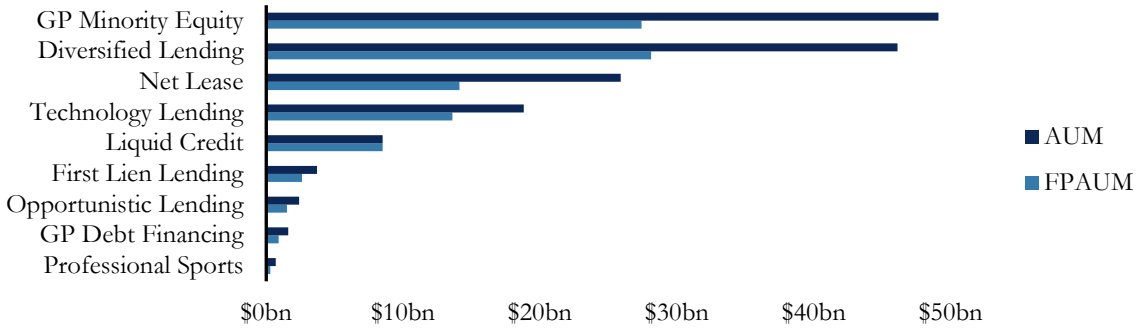
BLUE OWL

OWL benefits from superior AUM dynamics, making it a head-turning investment with stable FRE

Commentary

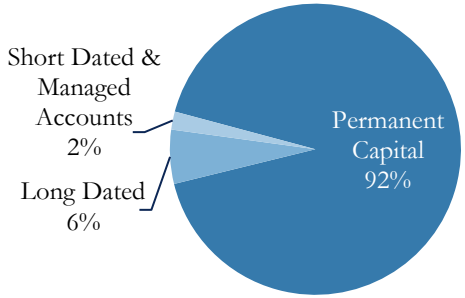
- AUM Not Yet Paying Fees offers **~$175mm** in fees once deployed
- OWL charges a higher fee than competitors **(~1.5% vs. ~1.0%)**
- OWL's FRE as a portion of DE is the highest among FRE centric managers **(100% vs. 63%)**
- Permanent Capital FRE fees for Alt. Managers is only **39%**

Strong Fee-Paying Share of AUM



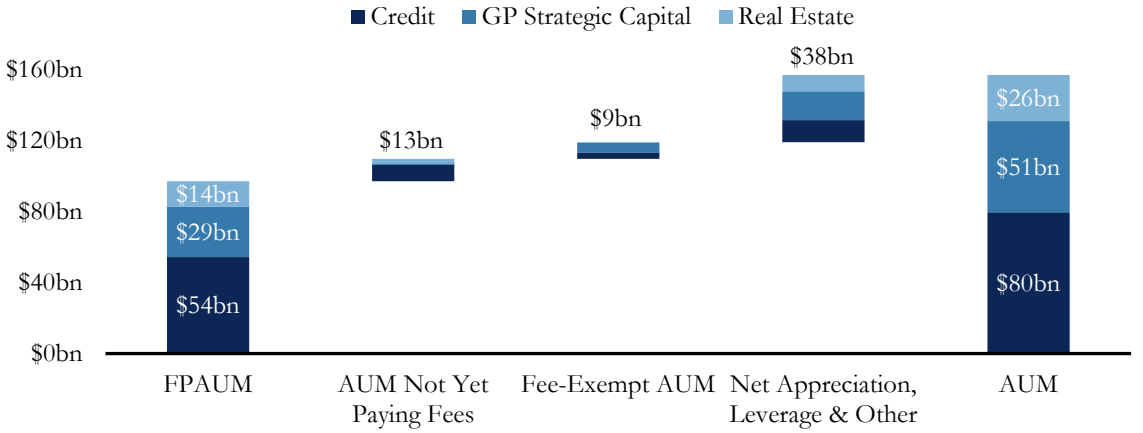
FPAUM comprises 62% of OWL's AUM across all strategies and platforms

FPAUM by Capital Duration



OWL's high degree of permanent & long-dated capital ensures fees no matter the raising environment

FPAUM to AUM Bridge



Source: Company Filings, Earnings Calls

Internal Analysis: Focus on Fee-Related Earnings

BLUE OWL

100% of OWL's earnings are fee-related, avoiding the turbulent flight of performance-dependent fees

Blue Owl

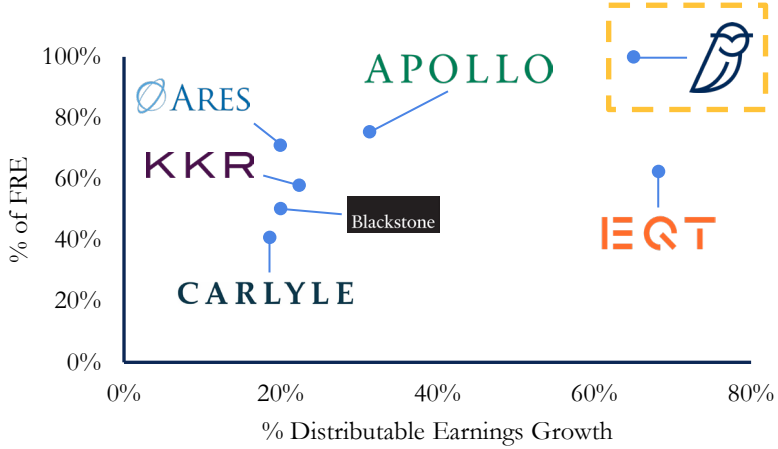
Carried Interest

OWL does not charge carried interest, avoiding the volatility of performance-dependent revenue streams

Fee-Related Earnings (FRE)

OWL earns some of the industry's best FRE margins

OWL maintains 100% FRE and leads in DE growth



Competitors

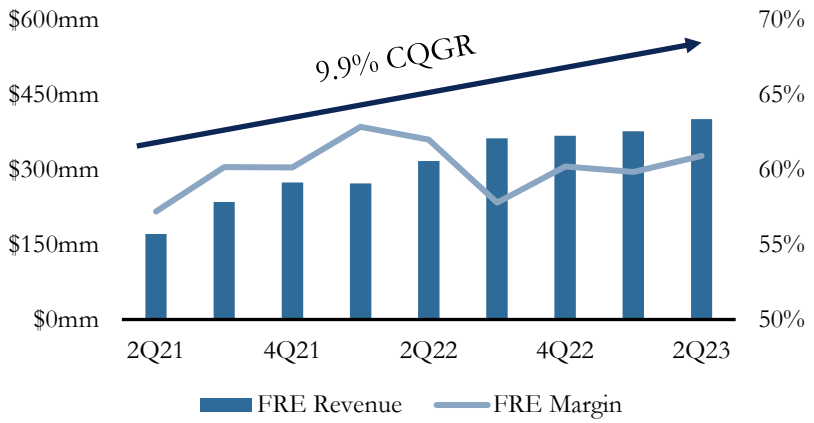
Carried Interest

Traditional asset managers earn a significant portion of earnings from investment performance fees

Fee-Related Earnings (FRE)

FRE constitutes ~35%–60% of distributable earnings

FRE margins have remained stable throughout growth



Source: Capital IQ, Company Filings

Internal Analysis: Real Estate Success

BLUE OWL

OWL's triple net lease structure offers superior "fly"-nancial returns and lease dynamics

Differentiated Sourcing Strategy

Proactive Relationship Building – Sale leasebacks are sourced directly, allowing favorable off-market pricing

Developer Take-Outs – Negotiate pricing terms that are better than marketed deals while avoiding development risk

Aggressive Lease Restructuring – OWL has successfully negotiated landlord-friendly terms prior to closing

Real Estate Fund Performance

Fund	Vintage	IRR	MOIC
Oak Street IV	2017	21.1%	1.57x
Property Fund	2019	13.9%	1.24x
Oak Street V	2020	23.0%	1.24x
Oak Street Net Lease Trust	2022	NM	
Oak Street VI	2022	NM	

Corporate Partnerships

7 ELEVEN

Walgreens

BIG LOTS!

Robust Real Estate Characteristics

20yr	Average NNN lease term
2%	Annual contractual rent growth
26%	Closed-End net IRR across realized funds
28%	Time weighted return
0%	Vacancy rate, defaults or late payments

Like its lending business, OWL seeks tenants with strong credit profiles and negotiates favorable lease terms

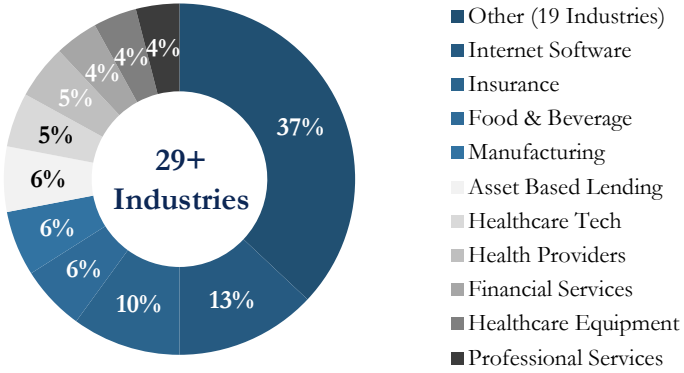
Source: Company Filings, Investor Presentations

Internal Analysis: Resilient Credit Platform

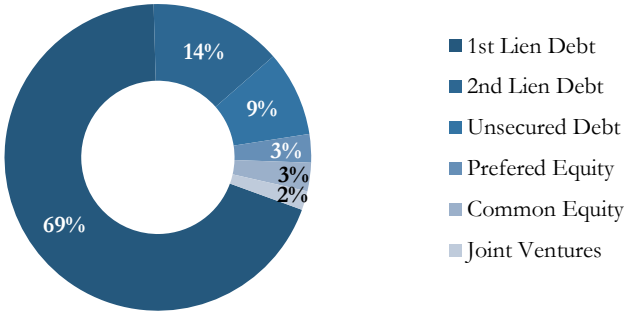
BLUE OWL

OWL's direct lending portfolio is diversified within an already resilient asset branch

Credit Investment Profile

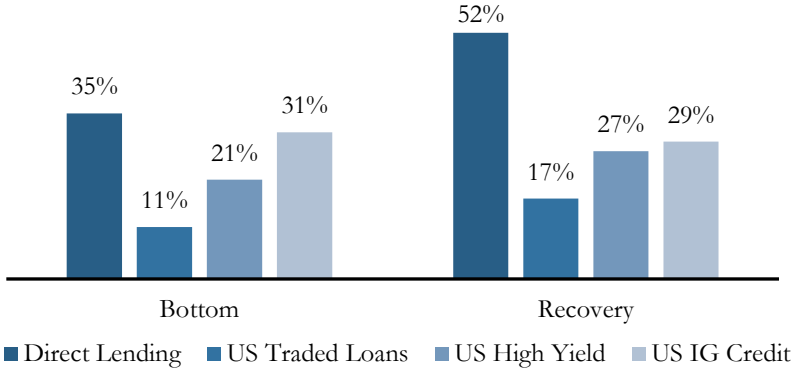


OWL's credit portfolio is diversified across many industries

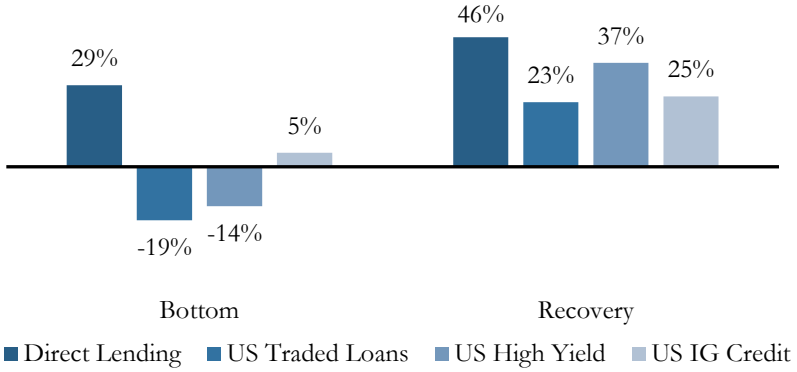


OWL focuses on the top of the capital structure, having deployed 83% of capital in senior secured investments

2017–2021 COVID-19 Pandemic



2005–2009 Global Financial Crisis



Source: Company Filings, Investor Presentations

External Analysis: Triple Net Leases

BLUE OWL

NNN leases offer extreme stickiness and superior stability in the face of sector headwinds

NNN Dynamic Benefits

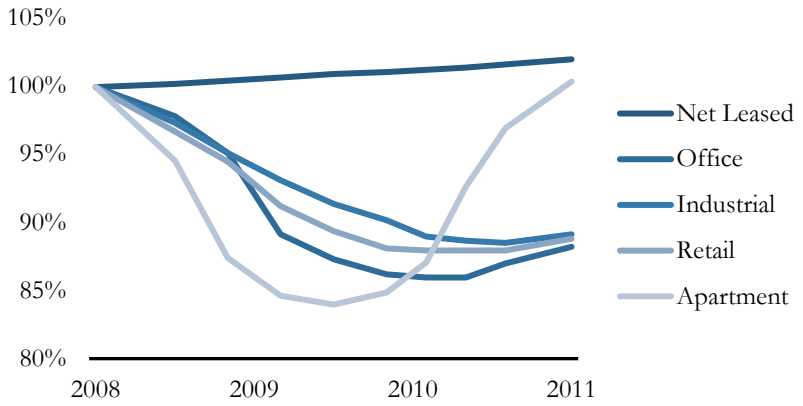
Resilience to Cost Inflation

In the US, commercial real estate investments average capital expenditures of 16% of operating income. Triple net leases eliminate capital expenditures, thereby lowering return volatility.

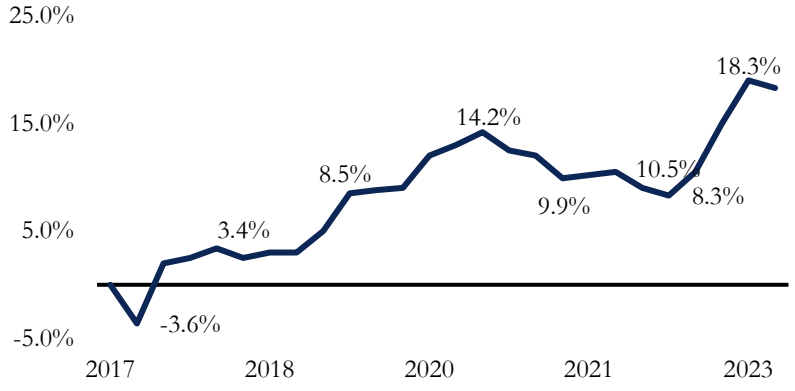
Resilience to Economic Downturn

Investment-grade tenants in essential industries demonstrate resilience during economic downturns, outperforming other commercial leases that face payment challenges.

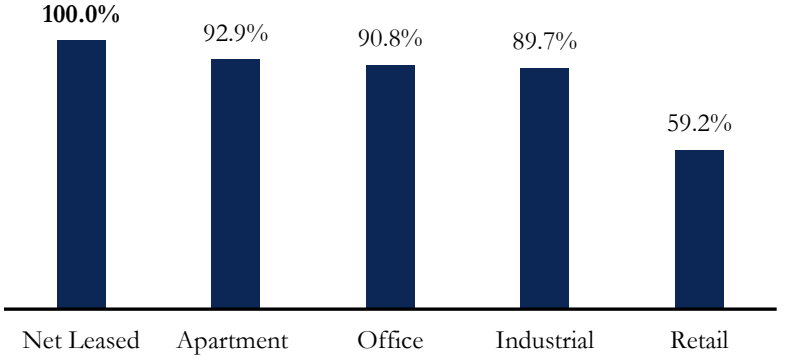
Rent Collection Rates During 2008 Financial Crisis



Quarterly Commercial Insurance Increases



Rent Collection Rates During COVID-19



Source: Company Filings, Investor Presentations

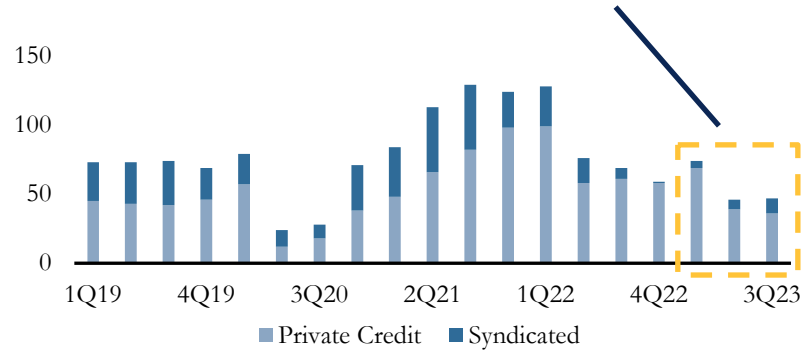
External Analysis: Strong Prospects for Private Credit

BLUE OWL

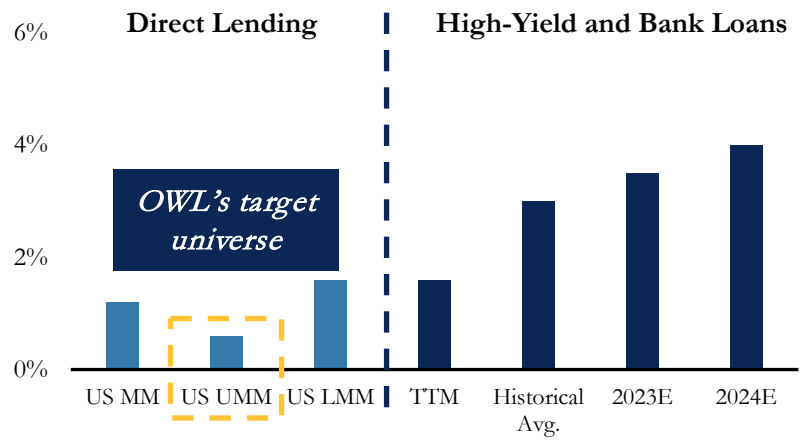
Private credit is an attractive asset class and is drawing borrowers like owls to a financial night party

of LBOs by Financing Source

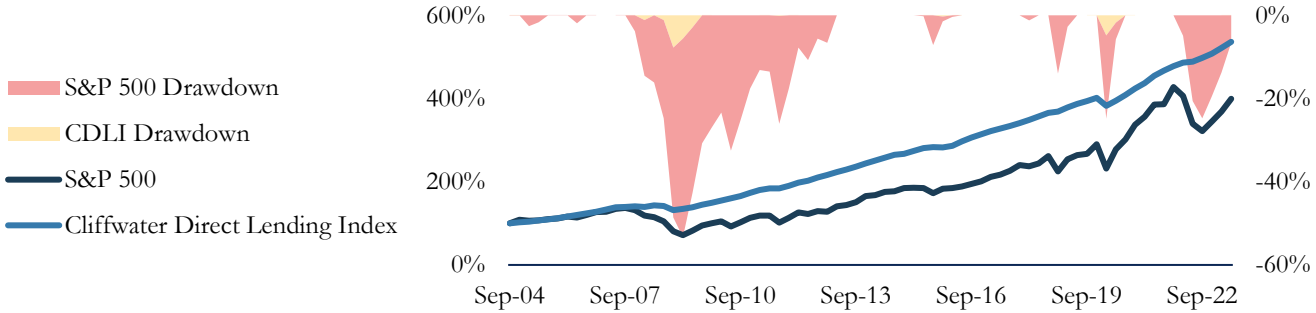
In 2022, aggregate US high-yield and bank loan ***volumes fell 70% YoY,*** pushing sponsors to private credit



TTM Default Rates by Category



Direct Lending vs. S&P 500 Performance and Drawdown



Since 2004, direct lending has ***outperformed the S&P 500*** (536% vs. 399%) while delivering ***less volatility*** (max drawdown of 8% vs. 48%)

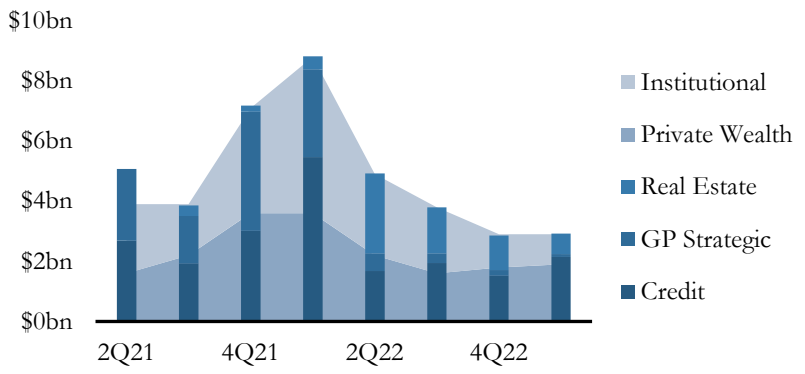
Source: Company Filings, Investor Presentations

External Analysis: Resilience of Permanent Capital

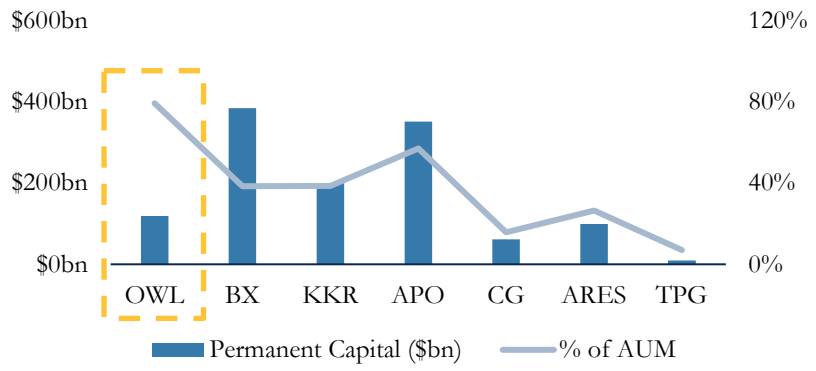
BLUE OWL

The private capital industry is soaring toward permanent capital, with OWL leading the "owl"-volution

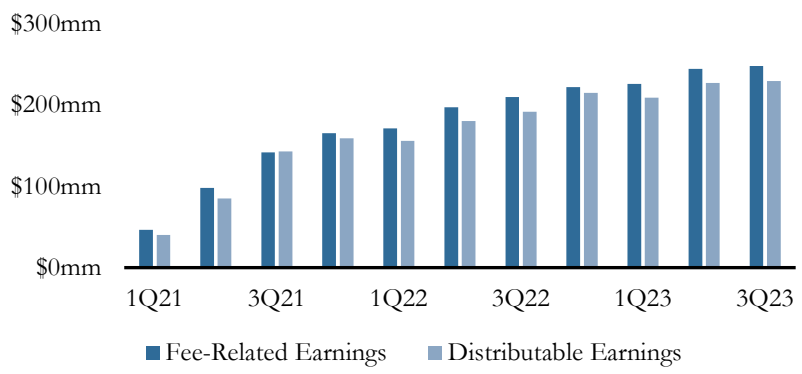
OWL Fundraising by Source and Platform



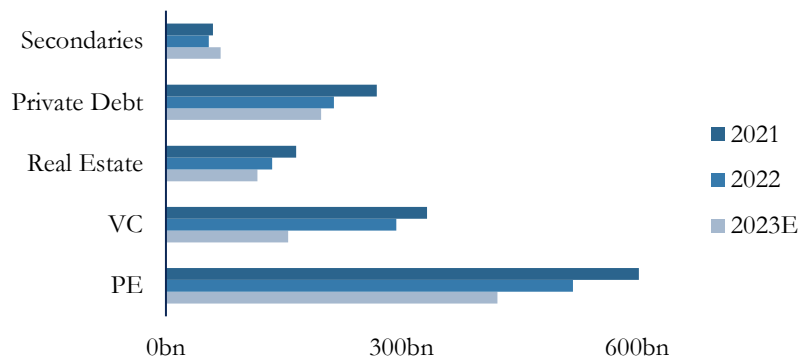
Permanent Capital Across Large Managers



OWL's Continued Earnings Growth



Industry-Wide Fundraising by Product



Source: Company Filings, Investor Presentations

III.

Thesis Set-Up

Thesis Set-Up: Macro Tailwinds

BLUE OWL

OWLs average flying speed = 40mph; macro tailwinds can and will make velocity greater than that

Regional Bank Collapses Cause Scares…

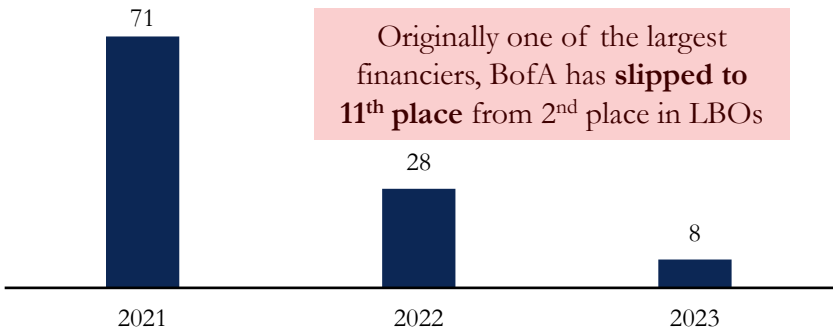
Was This a One-off Event or Trail of Events?

Credit Crunch: Early signs emerged mid-2022 with the banks not able to offload loans

No Cash: M2 has plummeted >$500bn since 2022 highs, returning to circa 2021 levels (~0% rates)

Basel III: With implementation still ongoing, Fed is considering strengthening capital reserves regulations

The major implication to be drawn is that access to capital will ***deteriorate and become more expensive***



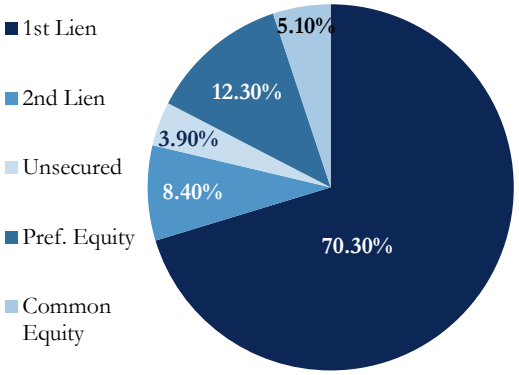
Originally one of the largest financiers, BofA has **slipped to 11th place** from 2nd place in LBOs

…But Push Borrowers to Private Lenders

"This is a **great time for private credit**. This is not a quarter that's a great time for private credit, **this is a secular change**… in how credit is provided to businesses." – *Marc Rowan*

"We're seeing the **greatest demand** today for private credit solutions… coupled with the **pullback** in regional bank activity, this is a **golden moment** for credit."
- Jon Gray

"Our product suite is **designed to lend capital** to private companies... and with the change at SVB, **no doubt it directionally moved** more companies toward what we do."
- Mark Lipschultz



Because of OWL's unique loan portfolio composition, they have **never lost a dollar** on their software BDC

OWL's unique combination and scale will allow them to disproportionately capitalize on this tailwind

National Geographic, Financial Times, Company Filings

Thesis Set-Up: Finastra Case Study

BLUE OWL

Vista tapped Blue Owl to lead a record $5.3bn refinancing of maturing loans and revolver outstanding

Records Smashed, But Only a Glimpse of What is Yet to Come

2012 – Vista Equity acquires Misys for $2bn TEV

2017 – Debt coverage fears start to emerge

Vista added on D+H for $3.6bn and rebranded it Finastra

Jan. 2023 – Vista engages private lenders for debt refi

Vista secretly engages GS for $1bn loan

Mar. 2023 – Lack of agreement in structure pushes Vista to the brink

Vista submits initial bid for $6bn in financing

Aug. 2023 – Vista secures $5.3bn in syndicated financing

Vista forced to pump $1bn; CoD SOFR+ 725 bps

1. Banks Don't Want to Loan

"There are times when you want to pay your people to play golf and not make loans; **this is one of those times."**
- Gerrard Cassidy, RBCCM Head of Bank Equity Strategy

2. Direct Lenders Extract Favourable Terms

After months of negotiations, Vista was forced to pump **$1bn of preferred equity** into Finastra though they tried to beg their way out of it, **protecting OWLs downside**

Two to Tango or Taco Twosday?

3. Banks Will Re-Emerge

However, this does not pose a threat to OWL – in fact, it should drive more lending opportunities with increased deal-flow

"We certainly work closely with banks… they've been critical partners **since day one** and will continue to be."

OWL has proven that its unique relationship with sponsors will allow them to **capitalize on the growing dependency on private lenders** to fulfill liquidity needs even while bulge bracket banks **slowly drift back into the picture**

Financial Times, BNN Bloomberg

IV.

Investment Theses

Investment Summary

BLUE OWL

OWL is a great business valued at a hoot of a price with strong growth potential due to industry dominance

Why The Opportunity Exists

1. **Regional Banking Crisis Displacing Loan Clients**
2. **First-Mover Advantage in Niche Credit Markets**
3. **Consistent Returns Driving Future Fundraising**
4. **Insulation From Macroeconomic Headwinds**

Our View on Key Debates

Can Blue Owl Continue to Fundraise at its Historical Pace?	Industry-leading IRRs and top-notch industry expertise should drive fundraising to continue growing rapidly
What Multiple Should OWL Be Priced At?	As a structurally advantaged, fast-growing business, we believe OWL should trade for at least 2x below street median

Thesis Summary

1. Credit Growth	Current macro environment provides the perfect storm for OWL to take advantage of growing whitespace in the direct lending and syndicated loan space. This will allow OWL to carve out a defined position while simultaneously leaning into their strong GP relationships to drive further deployment.
2. FRE Growth	OWL has the street's highest management fees because they do not charge any carry on their funds; this results in a completely differentiated business model that creates sticky recurring revenues. Coupled with the strong permanency of capital, FRE growth will continue to drive value-creation avenues for OWL.
3. Real Estate	Investors fail to see OWL's massive structural advantage in the net lease space due to management expertise and market share. Combined with favorable short-term macro tailwinds and a massive unexplored TAM, the company should be able to deliver leading returns and raise funds with ease.

Thesis I: AUM Growth – Driven By High Returns

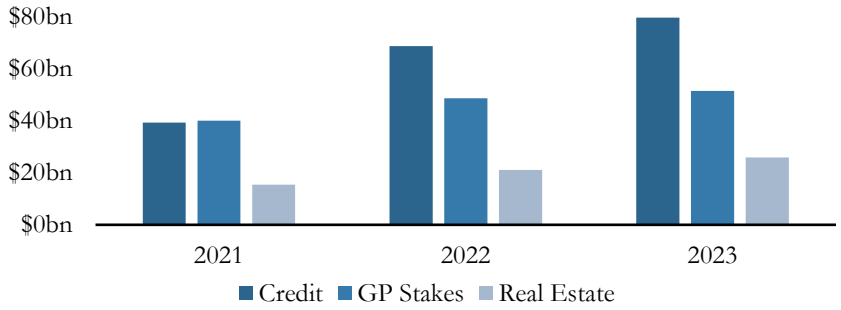
BLUE OWL

Blue Owl's consistent high-altitude performance is driving the strongest fundraising on the street

Historical Fundraising

- Over the last four quarters, Blue Owl has increased their AUM ~20% to $156bn, with every line contributing to significant fundraising and with strong deployment in their credit strategies and real estate acquisitions
- Focus has also shifted towards building out an international presence, with a recent $1bn investment by Mubadala, an Emirati state-owned company acting as Abu Dhabi's SWF
- >80% of capital raised is permanent capital

AUM Growth Over Time - 30.2% CAGR



Top Returns Across Street

Dyal Fund IV (2018) IRR: 71.3%

Blue Owl holds **60% of the GP Stakes market share** – with the only other players being Goldman and Blackstone (i.e., **OWL fund size is >2x** of BX's latest fund; this allows them to buy stakes at **steep discounts** to book value as GPs seek outside investors to free up liquidity, meaning that nearly every single acquisition is **accretive**

Real Estate IV (2017) IRR: 26.0%

Blue Owl's acquisition of Oak Street back in late-2021 has paid serious dividends for investors, as they have **consistently generated 2x comps IRR** while limiting redemptions to **allow capital to compound over indefinite periods**; in essence, OWL has turned a **traditionally volatile and low-return** asset class into one of their **top-performing verticals**

However you cut it, OWL's best-in-class returns keep investors ***flocking and reinvesting*** into the multiple ***open-end funds*** that OWL continues to offer and ***compound capital with***

Company Filings, Financial Times

Thesis I: FPAUM Growth – Credit Prime Time (I)

BLUE OWL

Street is bearish on "higher for longer" headwinds; OWLs should ready their beaks to munch on debt

Floating Rate Exposure

Street View: *D*irect lending is currently cooling off due to the perceived belief that "higher for longer" will deteriorate the outsized returns OWL has historically generated

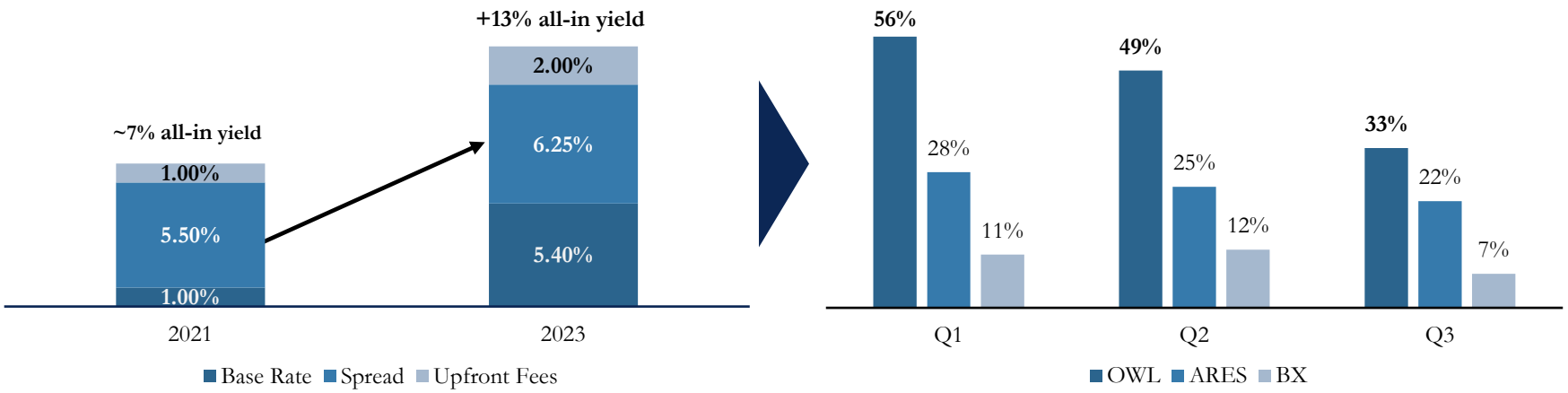
Our View: Street has misrecognized that >98% of OWL's loans are structured with floating rates, which allows them to insulate themselves from macro headwinds

Superior AUM Allocation to Credit

- Compared to alt. managers like Blackstone and Ares, OWL's AUM is **>5x more concentrated** in direct lending
- With short terms to maturity and strong covenants, OWL can recycle and redeploy capital at rapid rates to recession-resistant and non-cyclical clients

Altogether, it is evident that **now is the time** to invest **long growth runways** through **credit-centric firms** like OWL

Higher Base Rate and Spreads Driving Greater FRE Growth



Company Filings, Equity Research

Thesis I: FPAUM Growth – Credit Prime Time (II)

BLUE OWL

An incoming liquidity and credit crunch will result in a prime-time opportunity for Floyd MayFeather

Record Number of Refi's Required to Skyrocket

Leveraged Loan Maturities

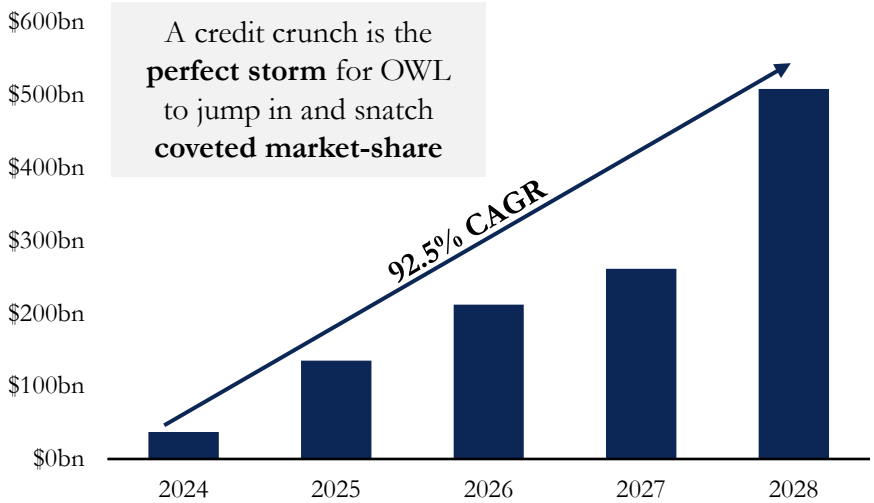
Banks

Banks are among those that have **suffered immense losses** during the credit crunch, many of whom are choosing to stay away from syndications now

Private Debt

On the other hand, **private lenders are itching** to get into the space, where they will be able to buy loans at a **steep discount** and also tap on their strong GP network to extract **favourable refinancing terms from sponsors**

A credit crunch is the **perfect storm** for OWL to jump in and snatch **coveted market-share**



KKR PetVet Refinancing

KKR PetVet Care CENTERS

BLUE OWL

Needing $2.3bn to refinance the PetVet Care business' $3bn of outstanding debt maturing in 2025, KKR tapped **Blue Owl** to lead the offering

Loan was structured as a **unitranche loan** at a rate of **SOFR + 600bps**, with the loan **set to mature seven years after** issuance

Lenders forced KKR to raise an **additional $400mm** of pref. equity and **inject another $600mm** into the fledgling business

Bottom line: OWL is **well-positioned to capitalize** on the growing private lender reliance

BNN Bloomberg, Financial Times

Thesis I: FPAUM Growth – Retail Says "Hoot Hoot"

BLUE OWL

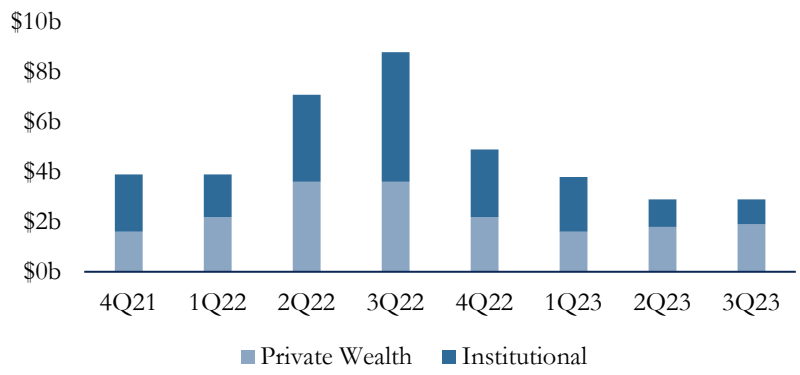
Blue Owl is continuing to drive institutional fundraising while now placing an emphasis on retail

Initial Institutional Dominance

- Throughout Blue Owl's history, fundraising has leaned towards the traditional institutional investor as they sought strong **risk-adjusted returns** (e.g., Brown's endowment fund has **~90% in OWL** or one of its subsidiaries)
- Additionally, many institutional investors preferred the **open-end style fund** that OWL had popularized through OBDC, which has generated ~10% IRR

Although institutional investors have traditionally made up a bulk of fundraising, **retail investors are waking up**

Fundraising Allocations



Looping in Retail Investors

1 Retail Investors Underallocated

Most private markets investments have historically had **barriers to entry** for retail investors, with many minimum cheque sizes being **>$10mm**; compared to institutional investors, retail investors have **<5% of investments in private markets** resulting in them missing out on **superior returns** relative to public equities and debt

Tapering capital raise is a concern for most alt AMs as macro headwinds pounds deployment

2 Blue Owl Increasing Accessibility

Over the last year, Blue Owl has **steadily increased the proportion of fundraising attributable to private wealth**; this past January, Blue Owl partnered with two of the largest wirehouses – **Allfunds and iCapital** – to offer exposure to their software-focused lending platform

OWL is beefing up retail channels to sustain record-levels of fundraising and minimized losses

Thesis II: Business Model – Cash Flow Stickiness

BLUE OWL

Blue Owl takes a unique flightpath in the financial skies, forgoing the traditional performance fees

Understanding the Advantages of FRE-Centric Models

Lack of Performance Fees Creates Steadiness

No Performance Fees

OWL: 1.5% FRE Fees	Comps: 1.0% FRE Fees

Since OWL's mgmt. companies do not collect **performance fees**, they are not subject to **volatility in distributable earnings,** allowing them to charge **above-street** fees

Sticky FRE Creates Alignment

This has allowed OWL to earn **10 straight quarters of 60% FRE margins**, which is demonstrative of a **steady stream of cash flows;** this will continue into the terminal state of the business as it continues to scale

No reliance on carried interest = more stable value-creation stream

"Meaarr" Go the Bears

1. Overvaluation Concerns
2. FPAUM Misunderstanding
3. "Limited" Upside
4. OWL's Higher Div. Yields
5. Internal Head-Butting

Fundamentally, divergence from street is derived from understanding that **OWL is not just another AM –** it is building out a strong platform to **compete and be a leader**

Financial Times, Company Filings

Thesis II: Business Model – Permanent Capital (I)

BLUE OWL

OWL's permanent AUM creates FRE security for the foreseeable future, building a stable nest of earnings

Comparables Playing "Copy-Cat"

1 Sector Wide Trend

Funds like KKR and Carlyle have **recognized the importance** of perpetual capital vehicles and are **raising funds** to satiate demand

2 'Pound That Money

Investors have begun to fully realize the **power of compounding** money through permanent vehicles, allowing **redeployment at faster rates**

Shareholder Returns Top of Mind

Implications

RIC status means dividends will **always be >90%** of earnings, **solidifying shareholder gains**

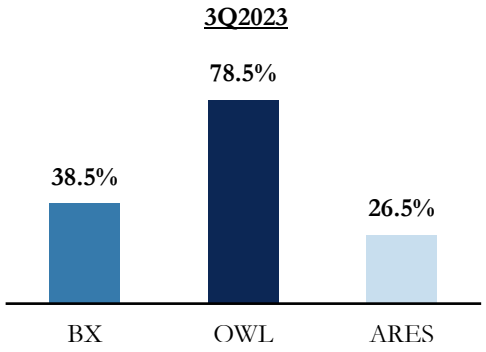
Permanency means rapid redeployment allows OWL to **move quicker** and **snipe good deals**

Throughcycle steadiness will continue to **differentiate OWL** from a traditional asset manager

"For **every $6.50** of fee-paying AUM we bring in, we see **just $1** going out in **redemptions or distributions.** For our peers, **every $2** raised is $1 leaving their system."
– *Alan Kirshenbaum, CFO*

OWL's investors stay for the **long-haul**, meaning that there is **less pressure to fundraise** to replace asset outflow

High Proportion of Permanent Capital Makes OWL a Compelling Asset Manager



Despite "Copy-Cat", "Catching Up" Still Name of the Game

1	Sustained FRE Margins	As AUM continues to scale, **DE will increase** as less money is leaving the OWL ecosystem, with **growth beating comps**
2	Dominant Fundraising	While other AMs sell this new product to LPs, OWL will see **both new and repeat funds** pour into open-end vehicles
3	Div. Distribution Lagging	Since cash flows are **more volatile than OWL**, other AMs are structurally **disadvantaged,** resulting in **lower yields**

Thesis II: Business Model – Permanent Capital (II)

BLUE OWL

Although owls mostly eat other predators, meals are never complete without some dessert

The Layer Cake Effect… Permanent Capital Compounding is Yummy

Continued strategic M&A will **accelerate the growth story**

Mergers & Acquisitions

YTD acquired ~$2.45bn, which will add ~$45mm in fees

Meaningful capital raises at **fastest paces on the street** will add to earnings cake

New Capital Raised

YTD raised ~$20bn, or an increase of 13.7% thus far

Incremental earnings **already embedded,** meaning that fees grow even without fundraising

Fee Step-Ups and Capital Deployment

$12.6bn AUM Not Yet Paying Fees represents ~$175mm of management fees

Unlike Comps, **>90% of FREs** are derived from **Permanent Capital**

2022 After Tax Distributable Earnings

~$750mm of DE generated (42% growth YoY)

Thesis III: Real Estate – Structural Business Advantage

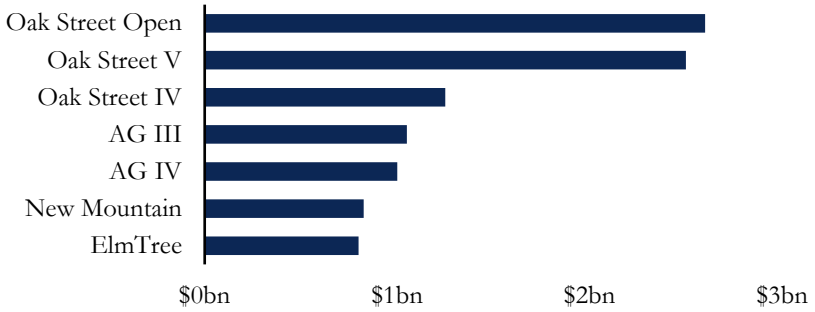
BLUE OWL

OWL's real estate segment is a steady, stable source of returns flying faster than competitors

Overview

- Oak Street was one of the first players in the net lease space and has >12 years of history across six funds
- Net leases are comparable to bonds in that the investor purchases a property, receives a **stable monthly coupon (rental payment)**, and hopes to sell the property for more
- As the order of net lease increases and tenants pay for more expenses, **investments become cheaper** as there are less associated costs and thus **carry lower rental fees**

Largest Net Lease Funds



By acquiring Oak Street in 2021, Blue Owl positioned itself as the uncontested leader in net lease funds

Blue Owl Advantage

- A large portion of OWL's Credit portfolio companies are large brick-and-mortar chains resistant to e-commerce
- Blue Owl leverages these extensive middle-market debtor relationships to **double-dip through lease offerings**, earning **multiple streams of income** from one company
- Tenants have **never missed** a single rent payment

"We're the very, very **clear market leader in triple net leases** for strong creditworthy and IG counterparties, and **interest in both the product and the use of capital is growing**." - *Marc Lipschultz*

Michael Reiter	Jared Sheiker	Larissa Herczeg
COO	Chief of Staff	Head of Seeding
6 years' experience	6 years' experience	11 years' experience

OWL's Real Estate team are experienced founders of the net lease industry

Sources: Company Presentations, Company Website

Thesis III: Real Estate – Unrealized Opportunity (I)

BLUE OWL

Blue Owl's real estate opportunities are lost in the jungle despite outperforming competitors

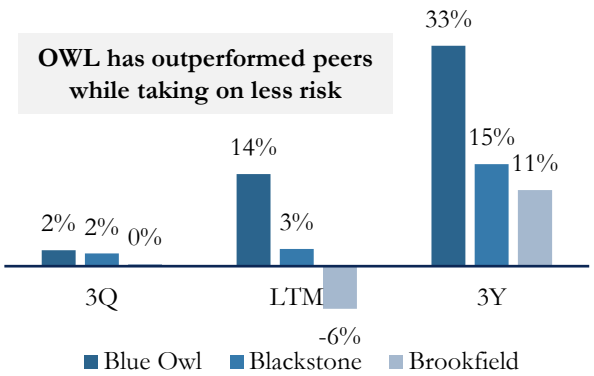
Despite Outperformance, Real Estate is Overlooked

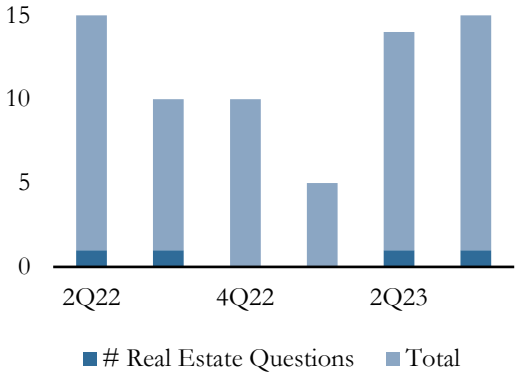
2009: Oak Street founded to specialize in sale-leasebacks

December 2021: Blue Owl acquires Oak Street Real Estate funds

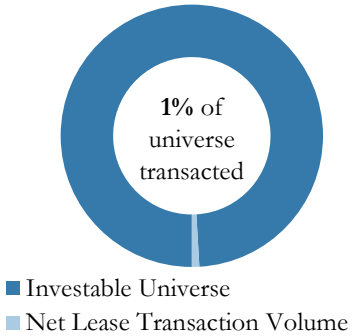
February 2023: Blue Owl acquires STORE Capital for $15bn

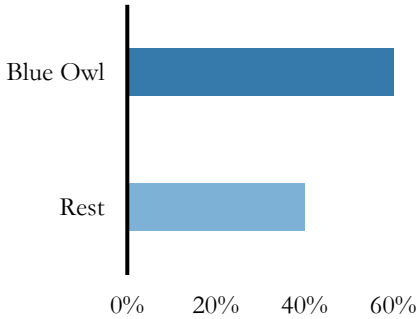
June 2023: Real Estate named as a top-performing fund

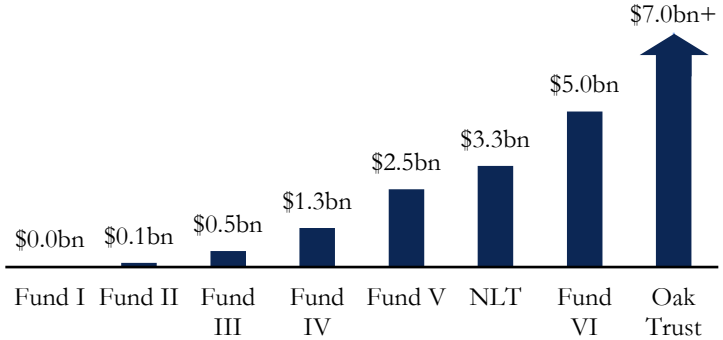




Control in a Massive Market Allows for Continuing Acquisition Opportunities







With incredible fundraising pace, Blue Owl still has **massive whitespace** in its segment of the real estate sector with opportunity to **sustain leading IRRs**

Thesis III: Real Estate – Unrealized Opportunity (II)

BLUE OWL

Macro factors have put Real Estate in its best position since inception

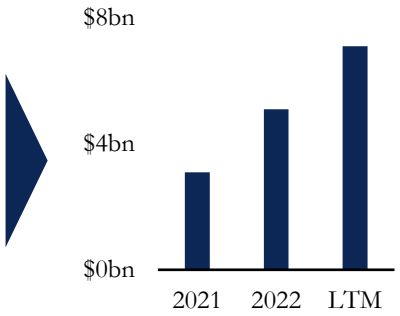
Prime Sale-Leaseback Economics…

…High rates, elevated inflation, and disruption of the real estate markets have created a **"perfect storm"** for our business by offering greater scale, increased speed and flexibility to transaction partners. - *Blue Owl 2023 Real Estate Outlook*

	Cap Rate	Lease Term	Escalator
2022	4.75%-5.25%	~15 years	~200bps
2023	7.5%+	~20 years	+48bps

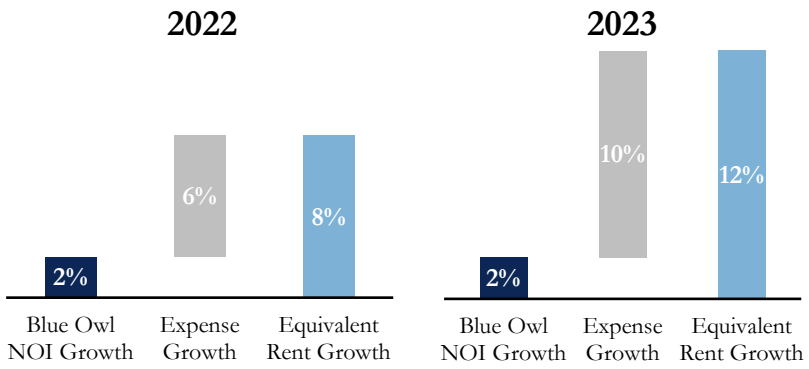
…Provide Opportunity for Blue Owl

As debt becomes more expensive, companies are increasingly looking to raise capital via atypical sources; sale-leasebacks are a speedy tool to generate cash flow



Blue Owl is taking advantage of better economics by purchasing **>$7bn of real estate LTM**, and **investment pipeline** reaching a **peak of $50bn**

Expense Growth Insulation



NNNs provide insulation against increasing expenses; effectively, they become more valuable in inflationary periods and perform better relative to comps

Our View on AUM Growth

1. **Fundraising Pace:** Real estate has raised **six funds** in the past **six years**, signaling an ability to set up and collect quickly
2. **Fundraising Growth: Fund size has grown 165x** from Fund I to Net Lease Trust; future funds should still see significant growth
3. **Performance:** Continued industry-leading IRRs **should bring in more capital** for future fundraises
4. **Unique Clientele:** Very few funds do sale-leasebacks to traditional retailers; this creates a strong pipeline for future investments
5. **LP Commitments:** Historically, LPs have invested in multiple Real Estate funds; this should continue with strong performance

Sources: Blue Owl 2023 Real Estate Outlook, Company Presentations

Call Option Thesis – Business Expansion

BLUE OWL

Blue Owl has two major opportunities to spread its wings and fly into new territory

Secondaries Line

Hired: Chris Crampton, Head of Strategic Equity

BLUE OWL

Goldman Sachs

Head of Industrials & Services Private Equity, Merchant Banking & Asset Management

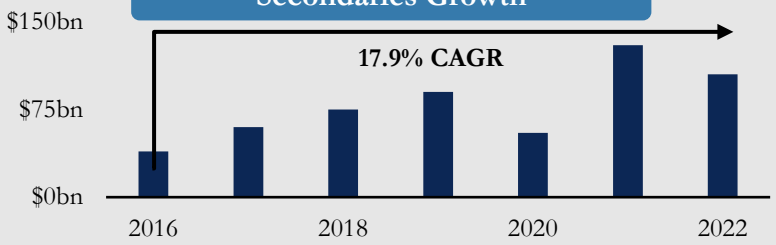
Comparable Fund

ICG

2.3x MOIC | **27% IRR**

Largest single-asset GP-led secondary fund

Secondaries Growth



The **secondaries market** has seen **massive growth** in past years

Europe Expansion

Target: Hayfin Capital Management

HAYFIN

$32bn AUM | **200+ employees** | **2009 founded**

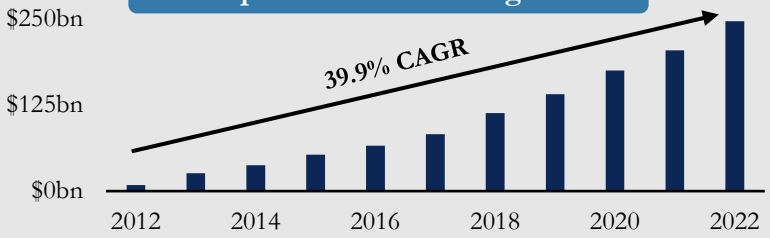
Precedent Transaction

nuveen x Arcmont ASSET MANAGEMENT

March 2023

"We have **more deals than we can handle**." - Anthony Fobel, ArcMont CEO

European Direct Lending AUM



Target IRR for European lenders is now **12-14%** for senior lending

Source: Bloomberg, Financial Times, Hayfin Website, Secondaries Investor

V.

Valuation

Valuation: Multiple Defensibility

BLUE OWL

OWL remains a stable investment even if multiples take a turbulent nosedive to historical lows

Sensitized IRR at Different Multiples

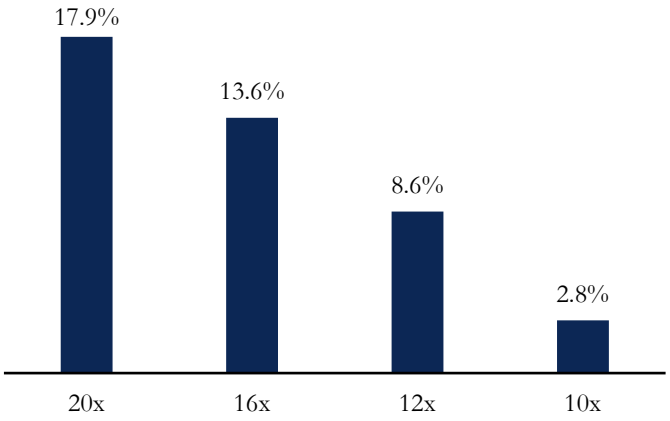
Street acknowledges that OWL **trades expensively** on an LTM basis

However, historical **fundraising pace** and **growth prospects** in all segments are unparalleled

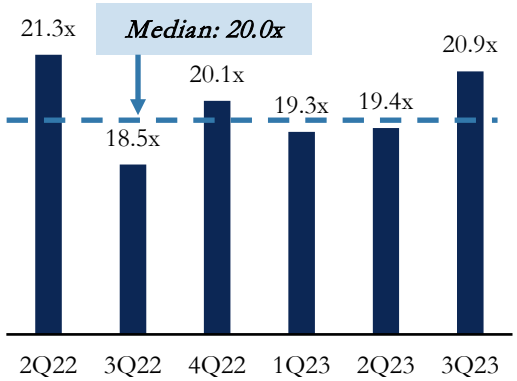
Forecasting **~20% AUM growth** for the next five years, we see that multiple must contract by **~16x** to lose money

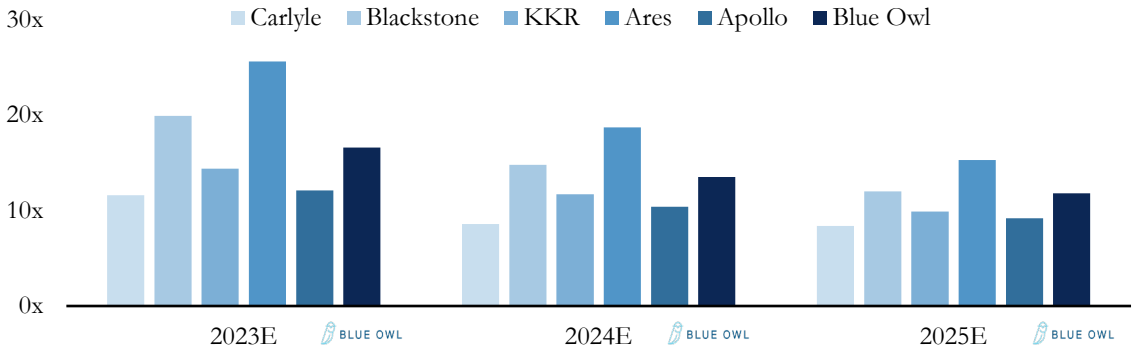
Bear View: interest rate decrease in 2H2024 will lead to multiple compression and valuation

Although 99% of loans are floating rate, **average spreads are ~700bps**, indicating strong insulation form fluctuations



Historical & Comparable Multiples





We conservatively believe that multiple **will remain flat at historical 20x DE**

Sources: Company Filings, Substack

Valuation: Fundraising Pace

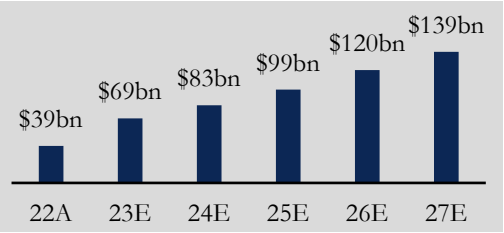
BLUE OWL

OWL has experienced an incredible liftoff but the journey to find prey remains ahead

Direct Lending

Fund	Year	AUM	IRR
OBDC	2016	$14.8bn	13.2%
OBDCII	2017	$2.6bn	NM
OBDCIII	2020	$4.2bn	13.1%
OCIC	2020	$15.4bn	NM

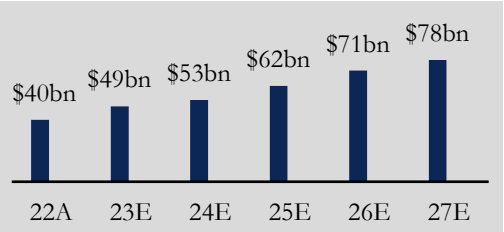
Fund	Year	AUM	IRR
OTF	2018	$7.3bn	12.2%
OTFII	2021	$6.5bn	NM
Lien	2018	$2.6bn	11.3%
Lien II	2020	$550mm	6.1%



GP Stakes

Fund	Year	AUM	IRR
GP II	2014	$3.2bn	15.2%
GP III	2015	$9.2bn	30.7%
GP IV	2018	$14.9bn	71.3%
GP V	2020	$13.6bn	43.3%

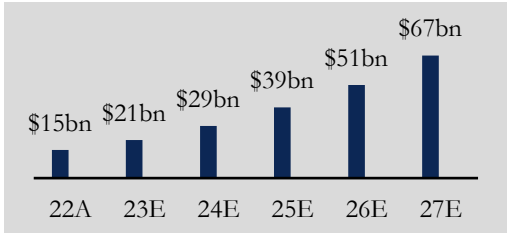
Fund VI: $13.0bn (2x BX GP Stakes Fund), expected 2024



Real Estate

Fund	Year	AUM	IRR
NLP	2019	$6.9bn	26.0%
RE V	2020	$4.0bn	15.3%
NLT	2022	$4.0bn	30.1%
GP V	2022	$4.5bn	NM

Anticipating multiple new funds through '23-'27 + continuing commitments to NLT



Without guidance on exact fundraises across each strategy, we generally model **annual fundraising as a % of beginning AUM** under the assumption that **new fund pace will hold** and **LPs continue investing into existing evergreen funds**

Sources: Company Filings

Valuation: Model

BLUE OWL

Our analysis uses night vision to look forward five years and exit on a multiple of 2027 D/E

Output

Sum of PV of DE	
Direct Lending D/E	3,296
GP Stakes D/E	2,578
Real Estate D/E	495
Total D/E	6,370

Summing the present value of each segment's distributable earnings to arrive at total D/E throughout the projection period

Terminal Value Calculation	
Direct Lending D/E	695
GP Stakes D/E	439
Real Estate D/E	109
Total D/E	1,243
Exit Multiple	*20.0x*
Terminal Value	24,864
Implied Share Price	$21.81

We assume a 20x exit off of combined Distributable Earnings

Investment Schedule	
2023	($13.71)
2024	$0.69
2025	$0.86
2026	$1.01
2027	$23.01
IRR	17.9%

With dividend reinvestments, OWL represents a strong investment with ~18% IRR

VI.

Risks & Catalysts

Risks & Mitigants

BLUE OWL

While most owls face the fear of getting hit by cars or being electrocuted, the Blue Owl soars above all

Banks Snatch Business from Private Lenders

Key Man Risk: Head OWLs Squabble

Limited Upside

Credit AUM Overallocation

Bear View

- Banks returning to the scene with friendlier terms as they lick their wounds from the credit crunch will cause demand for private lenders to plummet
- In early 2023, leaks that Dyal founder Michael Rees was falling out with the larger Blue Owl team; a spin-out or change of control could impact LPs
- The fixed-income nature of credit, historical volatility of real estate, and the record amount of dry powder held by GPs will reduce potential OWL returns
- Since credit is ~50% of FPAUM and rates projected to decrease in 2H2024, management is at risk to miss out on the initial 2025 div. target of $1/share

Variant View

- Although banks will certainly make a comeback, the secular shift towards protecting cash flow management will allow OWL to still remain relevant
- Michael Rees affirmed mid-2023 that he was committed to OWL for the long-haul, pledging to remain taking solely equity-based compensation for alignment
- Credit funds have historically outperformed comps, RE is generating record-levels of fundraising, and GPs are slowly beginning to deploy with clarity
- Spreads are extremely favorable for OWL loans, averaging ~700bps; extreme amount of loans needed for refinancing a paramount tailwind for OWL

Catalysts: Event Path To Upside

BLUE OWL

Key events that our owl eyes predict will help achieve IRR in our optimal scenario

Our Expected Event Path

1. **Successful GP Stakes Fundraise: Exp. 2024**
After phenomenal performance in the past three funds, a fully-subscribed raise of GP Stakes Fund VI will signal continued demand for the strategy despite a difficult environment and future fundraising capabilities adding significantly to FRE

2. **PE Firms Deploying Dry Powder: Exp. 2025-2027**
As PE firms begin to increase speed of new investments exiting the tough macro backdrop, returns should drive profitability and share price, which will further drive GP Stakes funds' performance and lead to a virtuous cycle of new fundraises

3. **Credit FPAUM Growth Through Evergreen and New Funds: Exp. 2025-2027**
Continued commitments to existing evergreen funds will increase management fees and prove that LPs are still interested in doing business with Blue Owl, new fundraises in the segment will expand OWL's market share and allow for better deal sourcing

Extra Catalysts

Future Fund Outperformance Over Peers

- Blue Owl has managed to beat competitors' funds across all three of its segments, especially driven by macroeconomic insulation over the past eighteen months
- As recently-raised funds approach the end of their lifecycles and new funds are raised, sustained IRRs higher than comps should drive investors to realize that OWL is an inherently superior asset manager with stronger risk-adjusted returns

Upcoming Debt Maturities

- As US loan maturities see large year-over-year increases through 2028 and bank regulations remain tight following the regional banking crisis, Blue Owl should be able to capitalize on the whitespace and originate favorable deals
- This will help drive returns in the long-term, allowing Blue Owl to keep raising larger flagship credit funds at a fast pace and growing management fee-related earnings

Source: CapitalIQ, Company Filings, Equity Research

VII.

Appendix

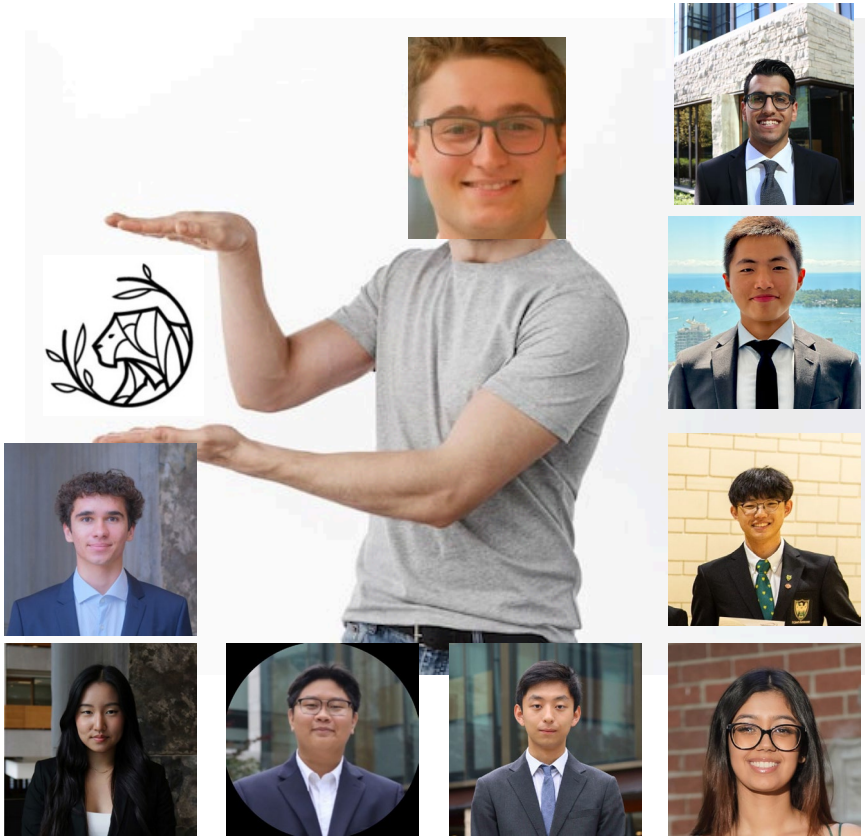
Jesse's Researcher Bootcamp

BLUE OWL

Helping our owlets train their wings and fly

Joshua's Tree of Researchers

BLUE OWL



Blue Owl Capital Inc. (NYSE: OWL)

Target Price: $21.81
5-Year IRR: 17.9%

Financial Institutions Group

Analysts: Kyra Gilson, Chenxi Li, Josh Rovner, Jesse Liao, Keegan Smith, Jonah West

Researchers: Anahat Shergill, Angelina Zhong, Denis Granulo, Edward Gordon, Jacob Ko, Owen Hu, Roc Lidder, William Lee

November 21st, 2023

Western Investment Club